Financial Constraints and Trade Credit as a Strategic Tool: Evidence from Small-Scale Reservation Reforms in India
A Discussion

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20th December, 2017

Summary of paper

Preemptive strategies of incumbent firms

Hypotheses:

- H1: When faced with entry threat by new competitors incumbent firms increase trade credit or offer price discounts (or both), to prevent their customers from switching to new suppliers.
- H2: Financially strong supplier firms increase trade-credit. Financially weak firms decrease prices to influence entry decision of potential entrants.
- H3: Financially weak customers take more trade credit. Financially strong ones ask for price discounts from supplier firms when there is an increased threat of entry.

Summary of paper

Small-scale reservation reforms

Research design:

- Institutional setting used for identification: Between 1997 and 2008, GoI removed manufacturing restrictions for a list of 1,024 products that were earlier reserved for small-scale and large export-oriented firms.
- The study uses this staggered event to analyse incumbent firms' ex-ante strategies when faced with an entry threat.
- DID method to estimate the effect of dereservation on the provision of trade credit and on product prices.
- Treated firms: those affected by this reform. Control group: Pre-reform period observations of treated firms.

Summary of paper

Effect of entry threat on payment terms

Results:

- An incumbent firm extends 11% more trade credit surrounding the removal of entry barriers. Increase in payment terms by around 8-10 days for a firm with payment terms of 2 months.
- Price of dereserved product falls by 8.6%.
- The effect stabilises after 3 years of dereservation.
- Large, old firms offer longer terms of credit. Financially constrained firms offer price discounts.
- Financially constrained customers take more trade credit.

Comments

- Well written paper.
- Detailed application of theoretical context to develop hypotheses.
- Thorough empirical analysis.

Comments

Motivation: universal vs local context

- How much external validity is there in the results?
- The result could be relevant in the specific local context which is about financial constraints, supply chain limitations in moving goods across the country etc.
- This is a paper on India and the answers obtained may not be universally applicable.

Comments

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- How much external validity is there in the results?
- The result could be relevant in the specific local context which is about financial constraints, supply chain limitations in moving goods across the country etc.
- This is a paper on India and the answers obtained may not be universally applicable.
- Why is this an interesting question?
- The effect of incumbent firms' preemptive strategies on the actual entry of new firms would have been interesting to explore further.

Comments

Incentive to adopt these strategies

- Competitors cannot move into the liberalized market segments immediately.
- 5-6 years after the de-reservation reform there was an increase in the entry rate and a decline in competition.
- The study uses the 0-5 year ‘clean’ window to separate the threat of entry from actual entry.

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- 5-6 years after the de-reservation reform there was an increase in the entry rate and a decline in competition.
- The study uses the 0-5 year ‘clean’ window to separate the threat of entry from actual entry.
- Given the long time-scale, the incentive to adopt the preemptive strategies seems questionable.
- To what extent did these strategies help to defend market power and deter entry?
- Maybe show that firms that engaged in this strategy had a better outcome in terms of sales than similar firms that did not engage in the strategy.
- Is the increase in trade credit by 11% big enough to make any difference?

Comments

Sample of firms

- Median firm size (1990-2013) measured using total assets is USD 11.17mn (INR 503mn at 2004-05 prices).
- This seems too big.
- It is unlikely that in the 1990s CMIE's Prowess database would have data on the kind of small firms who benefitted from the GoI's reservation policy.

Category	**Official: Plant and machinery (Rs. Crore)**	**Prowess: No. of firms)**
Micro enterprise	<= 0.25	71
Small enterprise	> 0.25 & <= 5	581
Medium enterprise	> 5 & <= 10	321

Thank you

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